INTRODUCTION

1 **FINANCIAL MANAGEMENT**:

In the modern world, all the activities are concerned with the economic activities and very particular to earning profit through any venture or activities. The entire business activities are directly related with making profit. (According to the economics concept of factors of production, rent given to landlord, wage given to labour, interest given to capital and profit given to shareholders or proprietors), a business concern needs finance to meet all the requirements. Hence finance may be called as capital, investment, fund etc., but each term is having different meanings and unique characters. Increasing the profit is the main aim of any kind of economic activity.

MEANING OF FINANCE:

Finance may be defined as the art and science of managing money. It includes financial service and financial instruments. Finance also is referred as the provision of money at the time when it is needed. Finance function is the procurement of funds and their effective utilization in business concerns. The concept of finance includes capital, funds, money, and amount. But each word is having unique meaning. Studying and understanding the concept of finance become an important part of the business concern. 8 D

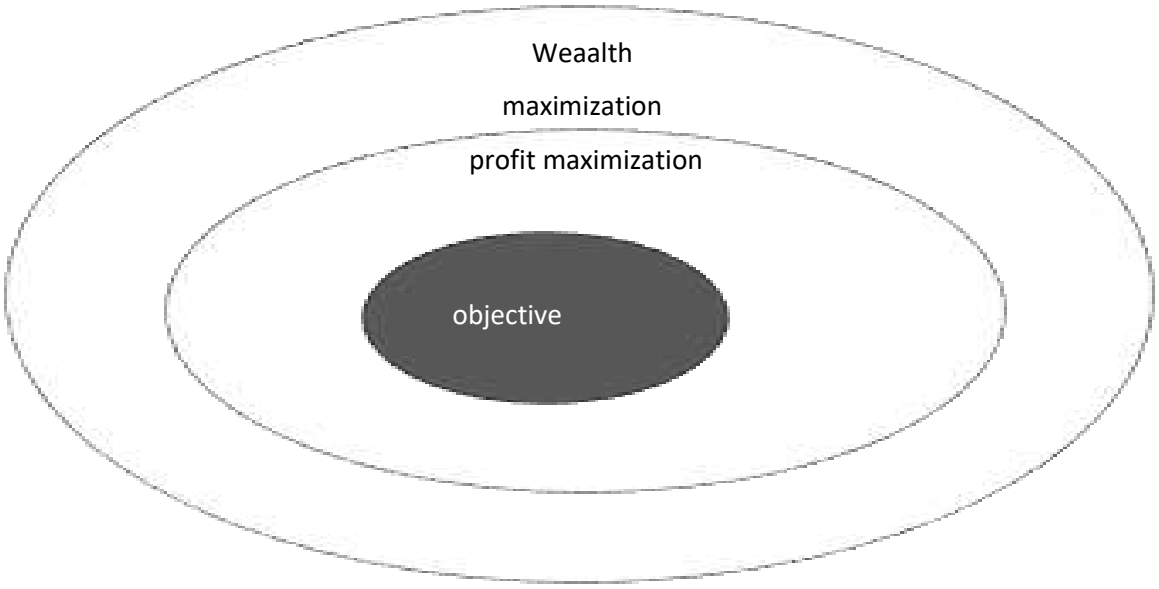
DEFINITION OF FINANCE

1. According to Khan and Jain, “Finance is the art and science of managing money”.

2. Financial Management According to Oxford dictionary, the word ‘finance’ connotes ‘management of money’. Webster’s Ninth New Collegiate Dictionary defines finance as “the Science on study of the management of funds’ and the management of fund as the system that includes the circulation of money.

OBJECTIVES OF FINANCIAL MANAGEMENT:

Effective procurement and efficient use of finance lead to proper utilization of the finance by the business concern. It is the essential part of the financial manager. Hence, the financial manager must determine the basic objectives of the financial management. Objectives of Financial Management may be broadly divided into two parts such as: 1. Profit maximization 2. Wealth maximization



Profit Maximization:

1. Profit maximization is also called as cashing per share maximization. It leads to maximize the business operation for profit maximization.

2. Ultimate aim of the business concern is earning profit, hence, it considers all the possible ways to increase the profitability of the concern.

3. Profit is the parameter of measuring the efficiency of the business concern. So it shows the entire position of the business concern.

4. Profit maximization objectives help to reduce the risk of the business

Wealth Maximization:

1. Wealth maximization is superior to the profit maximization because the main aim of the business concern under this concept is to improve the value or wealth of the shareholders.

2. Wealth maximization considers both time and risk of the business concern.

3. Wealth maximization provides efficient allocation of resources.

4. It ensures the economic interest of the society

SOURCES OF FINANANCING:

Finance is the lifeblood of business concern, because it is interlinked with all activities performed by the business concern. In a human body, if blood circulation is not proper, body function will stop. Similarly, if the finance not being properly arranged, the business system will stop. Arrangement of the required finance to each department of business concern is highly a compel One and it needs careful decision. Quantum of finance may be depending upon the nature and situation of the business concern. But, the requirement of the finance may be broadly classified into two parts:

Long-term Financial Requirements or Fixed Capital Requirement:

Financial requirement of the business differs from firm to firm and the nature of the requirements on the basis of terms or period of financial requirement, it may be long term and short-term financial requirements. Long-term financial requirement means the finance needed to acquire land and building for business concern, purchase of plant and machinery and other fixed expenditure. Long-term financial requirement is also called as fixed capital requirements. Fixed capital is the capital, which is used to purchase the fixed assets of the firms such as land and building, furniture and fittings, plant and machinery, etc. Hence, it is also called a capital expenditure.

Short-term Financial Requirements or Working Capital Requirement:

Apart from the capital expenditure of the firms, the firms should need certain expenditure like procurement of raw materials, payment of wages, day-to-day expenditures, etc. This kind of expenditure is to meet with the help of short-term financial requirements which will meet the operational expenditure of the firms. Short-term financial requirements are popularly known as working capital.

SOURCES OF FINANCE

Sources of finance mean the ways for mobilizing various terms of finance to the industrial concern. Sources of finance state that, how the companies are mobilizing finance for their requirements. The companies belong to the existing or the new which need sum amount of finance to meet the long-term and short-term requirements such as purchasing of fixed assets, construction of office building, purchase of raw materials and day-to-day expenses. Sources of finance may be classified under various categories according to the following important heads:

• Based on the Period Sources of Finance may be classified under various categories based on the period. Long-term sources: Finance may be mobilized by long-term or short-term. When the finance mobilized with large amount and the repayable over the period will be more than five years, it may be considered as long-term sources.

• Share capital, issue of debenture, long-term loans from financial institutions and commercial banks come under this kind of source of finance. Long-term source of finance needs to meet the capital expenditure of the firms such as purchase of fixed assets, land and buildings, etc.

Company Profile

PDCC Bank

In furtherance to the development of the co-operative movement in the district, the need for establishment of separate machinery for the distribution of finance in the rural areas was felt vigorously & hence the district central co- op,banks came into existence as a Central Finance Agency to meet the financial requirement of the various co-operative in the district. The co-operative societies act gave birth to many co-operative institutions ,hence the **Pune District Central Co-operative Bank** came into existence on **4thSEPT.1917** with the vigorous efforts taken by late Shri.N.C.Kelkar. Now the Pune Central Co-Operative bank been the PDCC Bank LTD is having its registered office at 4 B, B. J. Road, Pune 411 001.

The Bank is having Banking License No. RPCD Bombay 62 C, Dated 16/3/1995 from Reserve Bank of India to transact Banking business.The bank has rich history in as much as its **first Chairman Late Shri.N.C.Kelkar** a renowned litterateur and social worker. Able leadership was subsequently provided by eminent personalities like Late Dr.D.R.Gadgil, the father of co-operative movement in India, Shri. L.B.Bhopatkar leading lawyers of Pune and Prof.V.G.Kale economist. The Board has taken drastic decisions like implementation of Core Banking System, mobile banking and such other latest technology in the Pune District Central Co-op. Bank to compete in the changing business scenario.

In the beginning i.e. in 1917 there were only two employees in the banks one was manager and another was clerk. The first manager of the banks was Shri.L.K.Bhagwat. The total no. of members were 137 out of which 55 were co- op.societies & 82 were individual's members. The bank started its functioning with the working capital of Rs.51,000/-.

The area of operation of the bank is extended over Pune District. Despite the fact that there is stiff competition from the nationalised & urban co-op. Banks, which have fairly large network in the district, but the bank has maintained its business share in the district and even at industry level. Since last 104 years the bank is rendering remarkable services to its customers. As a Central Financing Agency in the district, the District Central Co- op.Bank are the platform on which, the co-operative societies in the district use to maintain there reserve fund deposits and others, besides which the SLR investments in the form of deposits are being kept with the PDCC banks by the urban co-op.banks.

The PDCC banks are representing the co-operative institutions in the district in many ways, for urban co-operative banks the clearing sub- members facility is being given by the PDCC banks besides which the PDCC banks are providing loans to various on lending co-operative institutions. The DCC banks are the backbone of the Agriculture Finance in the country.

Branch profile	No.of Branches
Rural Branches	
Semi Urban Branches	204
Urban Branches	295
Metropolitan Branches	273
7-days working Branches	4
High tech bar agriculture	4
Industrial Finance Branches(with 23 fix centers)	2
Computerized branches	1363
Branches with Telebanking facility	83
Query Terminal	88
ATM	53

Some other information:

A. Internet Banking:

Bank of Maharashtra offers following services through banking & people these facilities by using internet connectivity.

1. Account balance inquiry.
2. Statement of account
3. View all accounting details for all types of accounts
4. Check status & inquiry.
5. Check book queries.
6. E-payment of taxes

B. Mobile Banking:

Bank of Maharashtra offers mobile banking services with its new technology Bank of Maharashtra Mobile". It is a mobile banking application that works on a safe secured menu base interface provided through J2ME technology.

The customer can carry out inquiry functions, transfer of funds, e commerce transactions by using mobile application installed on customer's mobile instruments

C. Facilities under Mobile under Banking:

Balance inquiry.

- Funds transfer- within customer's own account
- Funds transfer- to any other account within Bank of Maharashtra
- View of mobile banking transaction log.
- Change of application password.

D. Computerization:

All the branches of the bank is fully computerized including rural branches.

E. Data Centre:

The bank has its own data center at Pune, to take care of the IT processing requirements with disaster recovery site in Hyderabad 25

F. ATM Network:

The bank expanded ATM network from 505 to 545 ATMs during 2009-10. Bank has entered into collaboration with VISA for issue of debit cards to its customers. The average hits per day have increased from 37 to 91 per year. The bank has also joined national financial switch (NFS) & MITR network for broadening its own network.

BENEFITS TO AGRICULTURE LOANS AT PDDC BANK:

Agriculture:

Agriculture is most important enterprise in India. It is a very broad term comprising all aspect of production. It provides food for population, fodder for livestock & fulfills needs like fiber, Fuel, timbre, wood & Raw Material to various industries.

Agricultural Finance:

The funds are required for the agriculture & for its allied activities .It Provided financial assistance to various Direct

Agriculture loans:

It means short term production & investment loans provided directly to farmers for agriculture purposes. This would also include such loans provided directly to farmers for agriculture purposes.

Need of agriculture finance:

2/3rd population depends on agriculture. Low growth in agriculture output results in rise in food prices. Majority of the poor are farmers, a labor & casual labor therefore for reduction ultimately & elimination of poverty. Agriculture has a significant share in GDP. If GDP is low then overall GDP is fall down. Credit.

Money Enders are main sources of credit. They were most convenient and easiest source. His administration as simple and flexible. The Indian government launched the three tier banking structure in India. At the apex is NABARD at the middle level are the urban co-operative banks (UCBS) and a few public sector banks (PSBS); and at the base are Primary Agriculture credit societies (PACS).

- **NABARD**
- **UCBS, PSBS**
- **PACS 28**

us purposes or agriculture operation for short & medium periods like minor irrigation, and development, soil conservation, farm mechanization, plantation & horticulture, cold storage & other allied activities.

Finance in villages is of two types

1. Agricultural finance (credit)
2. Non Agricultural finance

Agricultural credit is of two types: -

1. Production credit
2. Consumption credit

1. **Production Credit: -**

a. **Loans Short term: -**

- for 15 to 18 months
- Loans for meet daily working requirements
- cash components
- kind component: co-operative marketing societies.

b. **Medium term: -**

- Loans for 15months to 5 years.
- NABARD gives loan for 18 to 7 years.
- Creating capital asset
- Purchase livestock, machinery, equipment's

c. **Long term: -**

- 5-7 YEARS
- Land fencing mechanization construction of farm house, storage facilities

2. **Consumption Credit: -**

It is basically for survival of farm families

Theoretical Background

Ramesh and Chandel (2011) studied the financial performance and viability of four District Central Cooperative Banks (DCCBs) operating in Hisar division in Haryana for a period of twelve years (1997-98 to 2008-09) by financial analysis with different parameters and zscore analysis.

The financial parameters were taken i.e. profitability, liquidity, efficiency, solvency,risk and bankruptcy and results revealed that four DCCBs with approximately fifty branches have not been performing well on all financial parameters taken for study.

Chanda (2012) evaluated the potentiality of the Kisan Credit Card Scheme in India. The Kisan Credit Card Scheme was introduced in India in 1998- 99 has since become a flagship program providing access to short term credit in the agricultural sector. According to the Government of India, over a 100 million cards had been issued cumulatively by March 2011.

Using data from 2004-05 to 2009-10, he critically examines the determinants of KCC lendingacross states in India and districts in Bihar and also examine the effects of the scheme on agricultural growth and yields. His results suggest that states with initially better access to agricultural credit show subsequently greater amounts of KCC lending.

However, Bihar and other states also showed a faster adoption rates that cannot be explained by their recent growth accelerations.

Kanchu, Thirupathi (2012) examined the growth of DCCBs in India through selective indicators that included and analysed the Deposits, Credits and C/D Ratios of DCCBs. He alsostudies the growth of investment, working Capital and Cost of Management position in DCCBsand collected the data from various secondary sources and analysed it by using various statistical tools.

REASEARCH METHADOLOGY

The prepared to extract exhaustive information on different aspects of co-operative banking'son rural development.

For example, question to Borrowers includes:

1. General identifications (Farm asset)
2. Caste of the respondent to determine whether there is discriminations in farming loans.
3. Cost of credit (short-term)
4. Land cultivated
5. Credit linked marketing 6. Rate of interest
6. Method of repayment

Questions to Financial Institutions included:

1. Specific reasons for opening new branch
2. Government policies and interference
3. Training programmer adopted by this institutions
4. Perception about institutional credit

This chapter deals with recommendations and suggestions. The provisions applicable to rural farmers and tries to evaluate regulatory and implementing institutions, like NABARD. The study is intended to examine the adequacy of rural banking policy in place. The projections ofcooperative banks to lending in rural areas and availability of liquid fund within their disposal. However, the study reveals the following points; The policy of rural banks keeps onchanging and this makes recovery difficult For example - Land Development Banks recoveryindicator shows that in 1984-1985 demand was Rs. 438.95 crores and recovery was Rs. 355.51 crores (which is 81%) whereas in 1993-94 demand was Rs. 2277.38 and recovery Rs.1278 crores (which is just 57%). The loan procurement has made further complications as policies are amended often, thus throwing banks into uncomfortable position. In granting loans and advances for agricultural purposes, the financial institutions should consider the credit worthiness of the schemes of which credit is asked for rather than the credit worthinessof the individual They should be bifurcation between Bank of Maharashtra and Pune DistrictCentral Cooperative Bank in terms of lending to both rural farms and rural industries. While PDCC Bank takes charges of rural farmers (Agricultural) Bank of Maharashtra should take charge of rural industrie

PDDC BANK gives revised margin & security norms for Agriculture

Sr.No.	Type of credit	Loan amount	Margin
1	Margin money		
A	Crop loans & other short Term loan	. Up to Rs. 50000/- Over Rs. 50000/-	No Margin. 15 to20% (depend on quantum of finance).
B	Term Loans	Up to Rs. 50000/- Over Rs. 50000/-	No Margin. 15 to 20%.
2	Security norms	-	-
C	Crop loans & other short Term loans	Up to Rs. 50000/- Over Rs. 50000	Hypothecation of crops. Mortgage of land& third party guarantee.
D	Long term	Up to rs. 50000/- Over Rs. 50000/-	

The Agriculture loans offered by PDCC Bank can becategorized into the following types: -

- **PDDC Bank Kisan Credit Card:**

➢ Purpose	Cultivation of crops Meeting the short-term credit needs of farmers for crop production and allied activities etc. Maintenance of farm equipment etc. .
➢ Eligibility	Agriculturist who owns agricultural land
➢ Amount	As decided by District Technical committee & limit worked out for the purpose
➢ Security	Mortgage of land. Hypothecation of crop/Asset
➢ Repayment	Revolving credit facility for 3 years Coinciding with harvesting of crops-season/marketing of produce.
➢ Other Terms & Conditions	Assured and timely availability of working capital for crop cultivation. Borrowers are covered under personal accident insurance scheme. Insurance for notified crops is available.

➢ Minor Irrigation for Agriculturist:

↓ Purpose
Digging of new wells, revitalization of existing well, purchase of oil engine, electric motor, pump set installation of pipe line, sprinkler, irrigation, drip irrigation, tube well, bore well, etc.
↓ Eligibility
Agriculturist who owns agricultural land.
↓ Amount
For new dug wells as per the NABARD Unit costs for equipment's/estimates.
↓ Security
Mortgage of land, Hypothecation of movable assets and guarantors.
↓ Repayment
Depending upon the repaying capacity 7 to 11 years.
↓ Other Terms & Conditions
Proposed well should be located in white watershed area. It should not be in dark watershed area

➢ Farm mechanization for Agriculturist:

↓ Purpose
Purchase of Tractors/Power tillers Purchase of Harvesters Purchase of Threshers & other farm implements
↓ Eligibility
Agriculturist who owns at least 8 acres of Irrigated land. The Tractor should get at least 1500 hereof work in a year.
↓ Amount
As per cost of machinery
↓ Security
Hypothecation of Tractor/trolley and accessories, Mortgage of land.
↓ Repayment
7 to 9 years.
↓ Other Terms & Conditions
Comprehensive insurance of machinery with bank clause.

➢ Animal Husbandry:

↓ Purpose
Purchase of Cows/Buffaloes Poultry- Broiler Farm, Layers Farm, Hatchery Sheep/Goat Rearing Construction of Byre, Purchase of Machinery Working Capital Requirements.
↓ Eligibility
Agriculturist, agri. Labor and / or those who have necessary expertise.
↓ Amount
Animal cost - As per NABARD unit costs Others- as per the project.
↓ Security
Hypothecation of Animals/Plant Machinery to be purchased Mortgage of land.
↓ Repayment
4 to 5 years with suitable installments.
↓ Other Terms & Conditions
Insurance of all animals is essential.

➢ Horticulture:

↓ Purpose
Cultivation of fruit crops-mango, Pomegranate, Grapes etc.
↓ Eligibility
Agriculturist with adequate provision of irrigation
↓ Amount
As per NABARD Unit costs/ Project
↓ Security
Mortgage of land. Hypothecation of crops.
↓ Repayment
Within 15 years.

- **Scheme for financing establishment of Agri-Business Centers & Agro-Clinic for Agriculture graduate:**

↓ Purpose
Setting up of Agriclinics Setting up of Agribusiness Centers.
↓ Eligibility
Agriculture graduates
↓ Amount
Individuals Max. Rs 10 lakh, Group Rs 50 lakh
↓ Security
Hypothecation of Assets created out of bank loan Mortgage of land.
↓ Repayment
5 to 10 years.

- Financing farmers for Land purchase:

↓ Purpose
Purchase of land
↓ Eligibility
Small & Marginal farmers, share croppers/Tenant farmers.
↓ Amount
Maximum Rs 15,00,000/-
↓ Security
Mortgage of land. Hypothecation of crop/Assets.
↓ Repayment
As per the repaying capacity & incremental income.
↓ Other Terms & Conditions
Total land holding including proposed land should not exceed 5 acres.

- **Financing two wheelers to Farmers:**

↓ Purpose
Purchase of two wheeler.
↓ Eligibility
Net annual Agril. Income above Rs 50,000/- or 5 acres of irrigated land.
↓ Amount
Max. Rs 50,000/-
↓ Security
Hypothecation of Asset. Guarantors.
↓ Repayment
3 to 5 years.

- **Consumer loan to Farmers:**

↓ Purpose
Purchase of consumer durables.
↓ Eligibility
Net annual Agril. Income above Rs 50,000/- or 5 acres of irrigated/10 acres seasonally irrigated land.
↓ Amount
Max. Rs 50,000/-, for four wheelers Max. Rs 2 lakh.
↓ Margin
10%
↓ Security
Hypothecation of assets.
↓ Repayment
3 to 5 years.

➢ Hi-tech Projects:

↓ Purpose
Hi-tech projects.
↓ Eligibility
Agriculturist with knowledge of advance techniques in the farming.
↓ Amount
As per the project cost.
↓ Security
Hypothecation of goods Other collateral security.
↓ Repayment
Within 6 to 8 years.

Advantages & Disadvantages of a Bank Loan:

Advantages

Flexibility: A bank loan allows one to repay as per convenience as long as the instalments are regular and timely. Unlike an overdraft where all the credit is deducted in go. Or a consumer credit card where the maximum limit cannot be utilized in one go.

Cost Effectiveness: When it comes to interest rates, bank loans are usually the cheapest option compared to overdraft and credit card.

- Profit Retention: When you raise funds through equity you have to share profits with shareholders. However, in a bank loan raised finance you do not have to share profits with the bank.

- Benefit of Tax: Government makes the interest payable on the loan a tax-deductible item when the loan has been taken for business purpose.

Disadvantages

Hard Prerequisite: Since big finance from a bank is based on collateral, most young businesses will find it hard to finance the operations based on bank loan.

- Irregular Payment Amounts: Over a long duration payback via monthly instalment might witness variation in the rate of interest. This means that the EMI will not be constant, rather it will change as per the influence of the market on the interest applicable.

BENEFITS OF LOANS TO CUSTOMERS:

Benefits to Customers

- **Fast processing**

De-centralised operations for fast processing and quick availability of loans

- **Convenient Documentation**

Convenient documentation process to offer ease and flexibility

- **Dedicated and exclusive relationship managers**

Dedicated relationship managers to provide complete financial solutions

- **Attractive Pricing**

Low interest rates and commission charges

- **Priority sector clients**

Attractive pricing offered for customers under priority sector lending

- **Fast and Easy renewals**

Hassle free renewals with less documentation

- **Easy Accessibility**

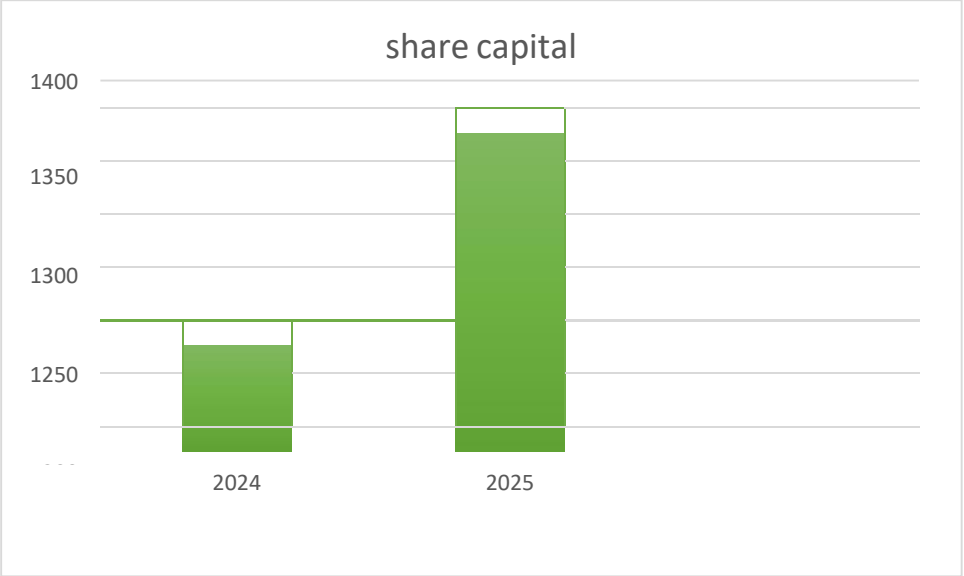
Leverage on our anywhere banking services through 3000 plus branch network

Objectives of the study:

- To study financial statements of PDCC Bank
- To know the role of government in encouraging the agriculture sector.
- To study the Rate of interest of agriculture loan in PDCC Bank in comparison other financial institution.
- To understand the various aspects of agriculture loan provided of PDCC Bank.
- To understand the Feedback received from the farmers who have taken agricultural loan from PDCC Bank.

ANALYSIS OF THE DATA

SHARE CAPITAL 2024 -2025

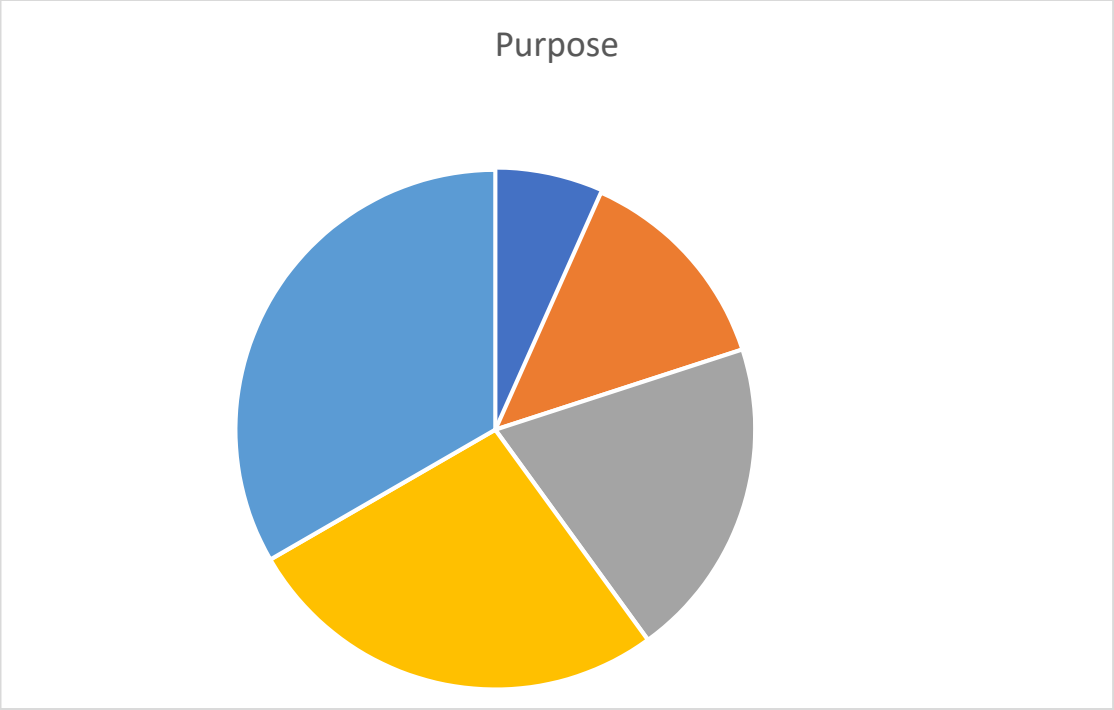


Interpretation:

- In balance sheet of PDCC Bank
- Share capital of March 2024 is 2753.17
- Share capital of March2025 is 5824.11

Purpose of borrowing loan:

Sr.no	Purpose	No.of farmers	%
1	IRRIGATION	53	53%
2	DEVELOPMENT	9	9%
3	EQUIPMENT	13	13%
4	FARMING PURPOSE	5	5%
5	OTHER	20	20%
	TOTAL	100	100%



FINDING OF THE STUDY

- Gross profit and net profits are decreased during the period of study, which indicates that firm's inefficient management in manufacturing and trading operations.
- Gross profit and net profits are increased during the period of 2024-2025 which indicates that firm's efficient management in manufacturing and trading operations.
- Liquidity ratio of the firm is not better liquidity position in over the five years. It shows that the firm had not sufficient liquid assets.
- The inventory of the firm in the first year has been sold very slow. And there is an increase in the movement of the inventories but it slightly decreased in the last year. This may be a sign not good to the firm.
- The fixed assets turnover ratio of the firm has in 2023-24 it increases in the next years continuously and it again decrease in 2024-25.
- The current assets turnover ratio is increasing during the period of 2023-24 and again it decreases in the period of 2024-25. And again increase in next two year slithightlliy.

CONCLUSIONS

1. The bank is expected to have good financial position in future as it is expected to have more customers for agriculture loan.

2. The government agencies promote local agricultural products, provide food safety and inspection services, soil conservation and environmental protection

3. Bank provides many agriculture financial assistance other than agriculture loan like consumer loan, vehicle loan, housing loan, import – export finance, which are useful for growth and development of agriculture and it helps to flourishing agriculture sector and its allied activities

4. Various facilities are provided to farmers. Relation between the branch officers & the farmers are very good. In loan schemes many farmers take loan for irrigation.

5. PDDC Bank reaches among the maximum number of Farmers across the country and More than average number of Farmers were found satisfied by the offeredservices of PDCC Bank

SUGGESTIONS

With regard to banking products and services, loans, consumers respond at different rates, depending on the consumer's characteristics.

1) Due to the intense competition in the financial market, PDCC Bank should adopt better strategies to attract more customers.
2) PDCC Bank should adopt effective promotional strategies to increase the awareness level among the consumers.
3) PDCC Bank should ask for their consumer feedback to know whether the consumers are really satisfied or dissatisfied with the service and product of the bank. If they are dissatisfied, then the reasons for dissatisfaction should be found out and should be corrected in future.
4) The PDCC Bank brand name has earned a lot of goodwill and enjoys highbrand equity. As there is intense competition, PDCC Bank should work hard to maintain its position and offer better service and products to consumers.
5) The bank should try to increase the Brand image through performance and service then, only the customers will be satisfied.
6) Majority of the people find banking important in their life, so PDCC Bank should implement the strategies to convert the want in to need which will enrich their business and fulfill the need of consumers.

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